

# Macro Regime-to-Portfolio Decision Framework

Weekly Research Memo | As of: 2026-08-21 | Data: FRED | Tool: Python, Excel | Frequency: Weekly

## Executive Summary

|                   |                                                                                |
|-------------------|--------------------------------------------------------------------------------|
| Portfolio         | Equity Neutral, Duration Underweight, Cash Overweight, TIPS Overweight         |
| Risk Appetite     | Risk-On — broad market-stress signals are not active.                          |
| Rates & Inflation | Rate + Inflation Pressure — inflation concern is elevated.                     |
| Real Yield        | Tightening ON — aggressive equity and duration overweights remain constrained. |
| Data Quality      | Pass.                                                                          |

## Current Signal Snapshot

|                       |                           |
|-----------------------|---------------------------|
| Risk Appetite         | Risk-On                   |
| Risk Appetite Score   | 0 of 4                    |
| Direction of Travel   | Stable                    |
| Rates & Inflation     | Rate + Inflation Pressure |
| Rate Pressure         | ON                        |
| Inflation Concern     | ON                        |
| Real Yield Tightening | ON                        |
| Data Quality          | Pass                      |

Risk Appetite Score Map: 0 = Risk-On, 1-2 = Neutral, 3-4 = Risk-Off

Rates & Inflation Regime: 1 = Rate + Inflation Pressure | 2 = Rate Pressure Only | 3 = Inflation Concern Only | 4 = No Pressure

## Portfolio Stance

| Asset Class                 | Stance      |
|-----------------------------|-------------|
| Equity                      | Neutral     |
| Treasury Duration           | Underweight |
| Cash / T-bills              | Overweight  |
| TIPS (Inflation Protection) | Overweight  |

Note: Equity and duration overweights are capped while Real Yield Tightening remains ON.

Stances are qualitative directional signals and not optimized portfolio weights.

## Decision Rationale

|                   |                                                                                                            |
|-------------------|------------------------------------------------------------------------------------------------------------|
| Risk Appetite     | Constructive risk appetite supports equity exposure, but not an aggressive overweight.                     |
| Rates & Inflation | Active rate pressure keeps duration neutral; inflation concern is elevated.                                |
| Real Yield        | Real Yield Tightening caps aggressive equity and duration overweight positions.                            |
| Cash              | Cash remains overweight as a liquidity buffer while rate pressure and real-yield tightening remain active. |

## What Changed

|                     |                                                                                             |
|---------------------|---------------------------------------------------------------------------------------------|
| Risk Appetite       | Remained Risk-On.                                                                           |
| Risk Appetite Score | Remained 0 of 4.                                                                            |
| Rates & Inflation   | Remained Rate + Inflation Pressure.                                                         |
| Portfolio           | Remained unchanged: Equity Neutral, Duration Underweight, Cash Overweight, TIPS Overweight. |

## Next Triggers

|                   |                                                                                                        |
|-------------------|--------------------------------------------------------------------------------------------------------|
| Risk Appetite     | A Risk Appetite Score of 1 would shift the framework from Risk-On toward Neutral.                      |
| Rates & Inflation | Easing inflation concern would reduce pressure in the rates/inflation backdrop.                        |
| Real Yield        | While Real Yield Tightening remains ON, aggressive equity and duration overweights remain constrained. |
| Portfolio         | Further risk deterioration would justify a more defensive allocation stance.                           |

Signals are regime indicators, not return forecasts.

Inputs include HY OAS, NFCI, VIX, Initial Claims, 10Y Treasury yield, breakeven inflation, and 10Y real yield.

# Macro Regime-to-Portfolio Decision Framework

Supporting Evidence & Framework Audit | Driver Detail | Rule Map | Stress Event Audit

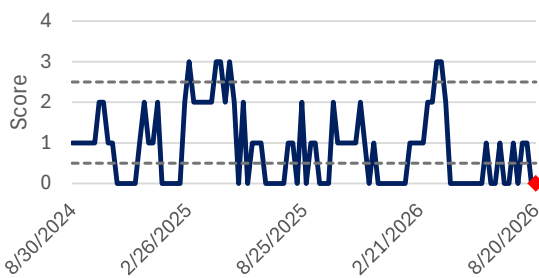
| Driver Detail & Signal Evidence |                       |            |            |                                                        |
|---------------------------------|-----------------------|------------|------------|--------------------------------------------------------|
| Channel                         | Indicator             | Previous   | Current    | Interpretation                                         |
| Credit                          | HY OAS                | OFF        | OFF        | HY OAS stress inactive.                                |
| Financial Conditions            | NFCI                  | OFF        | OFF        | Financial conditions remain unstressed.                |
| Volatility                      | VIX                   | OFF        | OFF        | Volatility stress remains inactive.                    |
| Labor Market                    | Initial Claims        | OFF        | OFF        | Labor-market stress remains inactive.                  |
| Rates                           | Rate Pressure         | ON (L+T)   | ON (Level) | Rate pressure remains active; level confirmed.         |
| Inflation                       | Inflation Concern     | ON (Trend) | ON (Trend) | Inflation concern remains active; trend confirmed.     |
| Real Yield                      | Real Yield Tightening | ON (L+T)   | ON (Level) | Real-yield tightening remains active; level confirmed. |

Driver flags explain regime evidence, not return forecasts.

Note: L+T = Level + Trend.

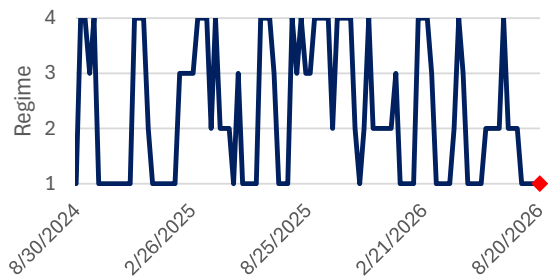
## Risk Appetite — Historical Signal Evidence

### Risk Appetite Score (Last 2Y)



## Rates & Inflation — Historical Regime Evidence

### Rates & Inflation Regime (Last 2Y)



## Risk Appetite Engine

| Indicator      | Trigger Rule                              | Score |
|----------------|-------------------------------------------|-------|
| HY OAS         | Level > rolling P80 OR positive 4W change | +1    |
| NFCI           | Level > rolling P80                       | +1    |
| VIX            | Level > rolling P80                       | +1    |
| Initial Claims | Level > rolling P80                       | +1    |

Risk Appetite Score Map: 0 = Risk-On, 1–2 = Neutral, 3–4 = Risk-Off

## Rates & Inflation Regime Matrix

| Rate | Inflation | Regime | Display Label                |
|------|-----------|--------|------------------------------|
| ON   | ON        | 1      | Rate + Inflation Pressure    |
| ON   | OFF       | 2      | Rate Pressure Only           |
| OFF  | ON        | 3      | Inflation Concern Only       |
| OFF  | OFF       | 4      | No Rate / Inflation Pressure |

## Rates & Inflation Engine

| Component               | Trigger Rule                    | Role                 |
|-------------------------|---------------------------------|----------------------|
| 10Y Treasury Yield      | P80 level OR positive 4W change | Rate Pressure        |
| 10Y Breakeven Inflation | P80 level OR positive 4W change | Inflation Concern    |
| 10Y Real Yield          | P80 level OR positive 4W change | Portfolio constraint |

## Historical Regime Recognition

| Event                        | Regime Recognition | Recognition Timing | Peak Risk Score | Peak R&I Regime |
|------------------------------|--------------------|--------------------|-----------------|-----------------|
| Global Financial Crisis      | Recognized         | 0                  | 4               | R4              |
| COVID Shock                  | Recognized         | 0                  | 4               | R4              |
| 2022 Inflation / Rates Shock | Recognized         | 0                  | 1               | R1              |
| 2023 Regional Bank Stress    | Recognized         | 0                  | 3               | R4              |

Case results are regime diagnostics, not forecasts or return backtests. Timing 0 may reflect pre-existing stress. R1–R4 denote Rates & Inflation regimes.